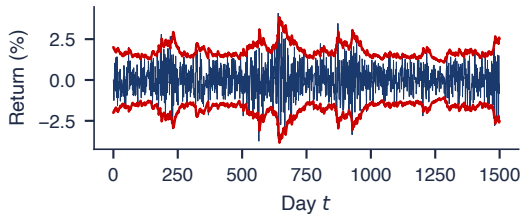
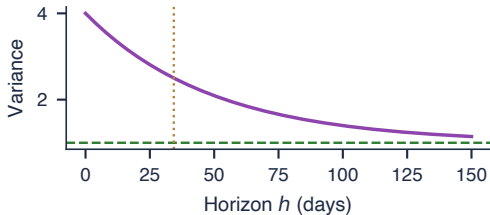


GARCH(1,1): $\alpha = 0.08, \beta = 0.9$



After a shock: back to $\bar{\sigma}^2$ at the rate $\alpha + \beta$



— Returns ε_t — σ_{T+h}^2 forecast - - - Long-run variance $\bar{\sigma}^2 = 1.0$ Half-life $h_{1/2} = 34$ days
— $\pm 2\sigma_t$